

This deficit had already persisted in what was considered by fiscal conservatives an alarming magnitude for the preceding six years of the Reagan administration. But then, on that terrible October morning, realization was thought to have dawned. The financial markets suddenly became aware. Again the ability of those in high financial position to provide a cloak, in this case one extending to absurdity.

Next came a series of studies—by the New York Stock Exchange (NYSE), the SEC, and a high presidential task force. These varied from the marginally relevant to the wholly ridiculous. The one commissioned by President Reagan and chaired by Nicholas F. Brady, claimed the most attention. It did not entirely overlook the preceding speculation; five or six early pages consisting mostly of charts affirmed the previous existence of a “bull market,” and the report said boldly and wisely, in a comment in an appendix study, that “eventually all things, good or bad, must come to an end, and the worldwide bull market did so with a vengeance in October 1987.” Neglecting this basic truth, however, the study then emphasized superbly subordinate factors—program trading, portfolio insurance, largely unspecified specialist misbehavior. (“The performance of NYSE specialists during the October market break period varied over time and from specialist to specialist.”) Also, in a breathtaking leap in logic, certain regulatory controls were said to have helped cause the collapse. That speculation and its aftermath are recurrent and inherent, unfortunate characteristics of markets extending over the centuries, went mostly unmentioned.

So also in the other studies. That of the SEC, weighing in at under five pounds, was devoted entirely to market performance and “strategies” during the crash. There was no mention of the circumstances that induced it. The report said, in sum, that program trading had substituted a computer-based technological intelligence for the human version, and the technology could spill out sell orders in a sudden and unprecedented way.

Index and option trading had, indeed, added casino effects to the market. Found innocent, however, were those individuals, speculative funds, pension funds, and other institutions that had so unwisely, in naiveté and high expectation, repaired to the casino.

Hearings on the crash were convened by Congress. Legislation on certain of the casino effects were considered, but none was passed. Perhaps some inner voice advised the legislators that these measures did not have any central relevance. The recurrent and sadly erroneous belief that